



UNITED STATES ENVIRONMENTAL PROTECTION AGENCY
REGION 8

1595 Wynkoop Street
DENVER, CO 80202-1129
Phone 800-227-8917
<http://www.epa.gov/region08>

Ref: ENF-AT

MAR 28 2007

CERTIFIED MAIL
RETURN RECEIPT REQUESTED

Stephen N. Goodrich
Plant Manager
Cemex, Inc.
P.O. Box 529
5134 Ute Highway
Lyons, Colorado 80540

Re: Notice of Violation
Cemex, Inc.
Lyons, Colorado

Dear Mr. Goodrich:

The United States Environmental Protection Agency (U.S. EPA) is issuing the enclosed Notice of Violation (NOV) to Cemex, Inc. (Cemex) pursuant to Section 113(a)(1) and (a)(3) of the Clean Air Act, 42 U.S.C. § 7413(a)(1) and (a)(3). We find that you are violating the regulations at your Lyons, Colorado facility for Prevention of Significant Deterioration of Air Quality (PSD), Nonattainment New Source Review (NNSR), New Source Performance Standards (NSPS), National Emission Standards for Hazardous Air Pollutants (NESHAP), Cemex's Title V Permit No. 95OPBO082, and the Colorado State Implementation Plan.

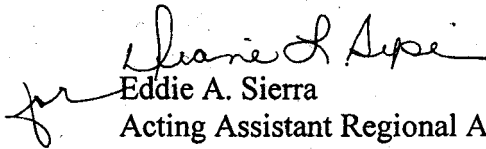
Section 113 of the Clean Air Act gives us several enforcement options. These options include issuing an administrative compliance order, issuing an administrative penalty order, and bringing a judicial civil or criminal action. The option(s) we select may depend on, among other things, the length of time you take to achieve and demonstrate continuous compliance with the requirements cited in the NOV.

We are offering you an opportunity to confer with us about the violations alleged in the NOV. If you choose to have such a conference, you may present information on the specific findings of violation, any efforts you have taken to comply, and the steps you will take to prevent future violations.

If you request a conference, please plan for your facility's technical and management personnel to attend to discuss compliance measures and commitments. You may have an attorney represent you at this conference if you choose.

The contacts in this matter are Carol Smith, Environmental Engineer, Emilio Llamozas, Environmental Engineer, and David Rochlin, Senior Air Enforcement Attorney. You may call David Rochlin at (303) 312-6892 to request a conference. You should make the request as soon as possible, but no later than 10 calendar days after you receive this letter. We should hold any conference within 30 calendar days of your receipt of this letter.

Sincerely,


Eddie A. Sierra
Acting Assistant Regional Administrator
Office of Enforcement, Compliance and
Environmental Justice

Enclosure

cc: Paul Tourangeau, Director
Air Pollution Control Division CDPHE



IN THE MATTER OF:)
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) **Notice of Violation**
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 Cemex, Inc.)
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 Lyons, Colorado)
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)
 Proceedings Pursuant to)
)
 Section 113(a)(1) and (a)(3) of the)
)
 Clean Air Act, 42 U.S.C.)
)
 §7413(a)(1) and (a)(3))
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This Notice of Violation ("NOV") is issued to Cemex, Inc. ("Cemex") for violations of the Clean Air Act ("Act") at the Lyons, Colorado, Portland Cement Plant. Cemex has modified operations and increased emissions at this plant without first obtaining a Prevention of Significant Deterioration ("PSD") Permit and a Nonattainment New Source Review ("NNSR") Permit. In addition, Cemex has violated provisions of the National Emission Standards for Hazardous Air Pollutants, the New Source Performance Standards, and the Title V Permit issued by the Colorado Department of Public Health and Environment.

This NOV is issued pursuant to Sections 113(a)(1) and (a)(3) of the Act, as amended, 42 U.S.C. § 7413(a)(1) and § 7413(a)(3). Section 113(a) of the Act requires the Administrator of the United States Environmental Protection Agency ("EPA") to notify any person in violation of a state implementation plan or permit of the violations before taking an enforcement action. The authority to issue this NOV has been delegated to the Regional Administrator for EPA Region 8 and further redelegated to the Assistant Regional Administrator for the Office of Enforcement, Compliance and Environmental Justice.



STATUTORY AND REGULATORY BACKGROUND

Requirements for New Source Review Permits

1. On June 19, 1978, U.S. EPA promulgated the prevention of significant deterioration ("PSD") of air quality regulations pursuant to Title I, Part C of the Act. 43 Fed. Reg. 26403 (June 19, 1978). The PSD regulations were revised on August 7, 1980 (45 Fed. Reg. 52676) in response to a decision of the U.S. Court of Appeals for the D.C. Circuit. These regulations are codified at 40 C.F.R. § 52.21. Subsequent to 1980, the PSD regulations have been periodically revised.
2. When the Clean Air Act was passed in 1970, Congress exempted existing facilities from many of its requirements. However, Congress also made it quite clear that this exemption would not last forever. As the United States Court of Appeals for the D.C. Circuit explained in Alabama Power v. Costle, 636 F.2d 323 (D.C. Cir. 1979), "the statutory scheme intends to 'grandfather' existing industries; but...this is not to constitute a perpetual immunity from all standards under the PSD program." Rather, the Act requires grandfathered facilities to install modern pollution control devices whenever the unit is proposed to be modified in such a way that its projected net annual emissions increase.
3. The New Source Review ("NSR") provisions of Parts C and D of Title I of the Act require preconstruction review and permitting for modifications of stationary sources. Pursuant to applicable regulations, if a major stationary source is planning upon making a major modification, then that source must obtain either a PSD permit or a NNSR permit, depending on whether the source is located in an attainment or a nonattainment area for the pollutant being increased above the significance level. To obtain the required permit, the source must agree to install the Best Available Control Technology ("BACT") for an attainment pollutant or achieve the Lowest Achievable Emission Rate ("LAER") in a nonattainment area. Sources may not operate unless they meet the emission limits that would have been imposed by the permitting process.
4. Pursuant to Title I Part C of the Act (Section 165(a), 42 U.S.C. § 7475(a)), the Colorado State Implementation Plan ("SIP") requires that no construction or operation of a major modification of a major stationary source occur in an area designated as attainment without first obtaining a permit under 40 C.F.R. § 52.21. The operation of a major stationary source after a major modification, unless the source has applied BACT pursuant to 40 C.F.R. § 52.21(j), is prohibited. EPA approved Colorado's PSD program as part of the Colorado SIP September 2, 1986. 51 Fed. Reg. 31125. Colorado's PSD program is federally enforceable pursuant to Sections 110 and 113 of the Act, 42 U.S.C. § 7410 and § 7413.
5. The Colorado SIP for PSD and NNSR provides that no emission unit or source subject to that rule shall be constructed without obtaining an air construction permit that meets the

requirements of that rule. The PSD and NNSR provisions of the Colorado SIP can be found in the Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5. Since Regulation No. 3 is part of the Colorado SIP, it is federally enforceable.

6. The Colorado SIP and 40 C.F.R. § 52.21(b)(1)(i)(a) define a “major stationary source” as any stationary source within one of 28 source categories which emits, or has the potential to emit, 100 tons per year or more of any air pollutant subject to regulation under the Act. Portland cement plants are included among the 28 source categories. Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Section I.B.3.b.i (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part A, Section I.B.58 see “Major Stationary Source” part b.i (Colorado SIP 110(h) Compilation as of 11/15/1998).
7. The Colorado SIP and 40 C.F.R. § 52.21(b)(2)(i) define a “major modification” as any physical change in or change in the method of operation of a major stationary source that would result in a significant net emissions increase of any pollutant subject to regulation under the Act. Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Section I.B.2 (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part A, Section I.B.35.B (Colorado SIP 110(h) Compilation as of 11/15/1998).
8. The Colorado SIP and 40 C.F.R. § 52.21(b)(3)(i) define “net emissions increase” as the amount by which the sum of the following exceeds zero:
 - (a) Any increase in actual emissions from a particular physical change or change in method of operation at a stationary source; and
 - (b) Any other increases and decreases in actual emissions at the source that are contemporaneous with the particular change and are otherwise creditable.See “Common Provisions Regulation” Section I.G see “net emission increase” parts i and ii (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part A, Section I.B.36.a.i and ii (Colorado SIP 110(h) Compilation as of 11/15/1998).
9. The Colorado SIP and 40 C.F.R. § 52.21(b)(21) define “actual emissions” and state that for any emissions unit that has not begun normal operations on the particular date, actual emissions shall equal the potential to emit (PTE) of the unit on that date. 40 C.F.R. § 52.21(b)(21)(iv). See “Common Provisions Regulation” Section I.G “actual emissions” part c (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part A, Section I.B.1.c (Colorado SIP 110(h) Compilation as of 11/15/1998).
10. The Colorado SIP and 40 C.F.R. § 52.21(b)(23) define “significant” and state that in reference to nitrogen oxides (NO_x), sulfur dioxide (SO₂), particulate matter (PM) and particulate matter smaller than 10 microns (PM-10), significant net emissions increase means an emissions rate that would equal or exceed 40 tons or more per year of NO_x, 40

tons or more per year of SO₂, 25 tons or more per year of PM, and 15 tons or more per year of PM-10. 40 C.F.R. § 52.21(b)(23)(i). See “Common Provisions Regulation” Section I.G “significant” part a (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part A, Section I.B.57.a (Colorado SIP 110(h) Compilation as of 11/15/1998).

11. An applicant for a permit to modify a stationary source is required to submit all information necessary to allow the permitting authority to perform any analysis or make any determination required in order to issue the appropriate permit. 40 C.F.R. § 52.21(n). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Section IV.B.2-3 (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part B, Section IV.B.2-3 (Colorado SIP 110(h) Compilation as of 11/15/1998).
12. Any owner or operator of a source or modification subject to 40 C.F.R. § 52.21 who commences construction after the effective date of the PSD regulations without applying for and receiving a PSD permit, shall be subject to appropriate enforcement action. 40 C.F.R. § 52.21(r)(1). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Sections I.A and III.A.1 (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part B, Sections I.A and III.A.1 (Colorado SIP 110(h) Compilation as of 11/15/1998).
13. The Colorado SIP and 40 C.F.R. § 52.21(i) prohibits the construction of any new major stationary source or any major modification without a permit which states that the source or modification would meet the requirements of 40 C.F.R. § 52.21(j) through (r). Sections 52.21(j) through (r) require that a source subject to PSD regulations undergo a control technology review, install Best Available Control technology (BACT), and conduct air quality modeling. Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Sections IV.D.3.a and IV.D.3.a.i-vi (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part B, Sections IV.D.3.a and IV.D.3.a.i-vi (Colorado SIP 110(h) Compilation as of 11/15/1998).
14. Clean Air Act (“CAA”) Sections 171-193, 42 U.S.C. §§ 7501-7515, impose SIP requirements for nonattainment areas. Among other things, the statute requires that states adopt SIP provisions establishing an NNSR program which includes permitting requirements and other requirements governing construction and operation of new and modified major sources in nonattainment areas. A state’s NNSR program must include a mandate that any modified source comply with the lowest achievable emission rate (“LAER”). CAA Section 173(a)(2), 42 U.S.C. § 7503(a)(2). LAER typically includes installation and operation of state-of-the-art air pollution control equipment. A state’s NNSR program must also include provisions requiring the modified source to obtain offsetting emissions reductions, CAA Section 173(a)(1), 42 U.S.C. § 7503(a)(1). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Section

IV.D.2.a (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part B, Section IV.D.2.a (Colorado SIP 110(h) Compilation as of 11/15/1998).

Requirements for Title V Operating Permits

15. Section 502(a) of the CAA, 42 U.S.C. § 7661a(a), and 40 C.F.R. § 70.7(b) provide that, after the effective date of any permit program approved or promulgated under Title V of the CAA, no source subject to Title V may operate except in compliance with a Title V permit.
16. 40 C.F.R. § 70.1(b) and Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part C, Sections II.A.1 and V.C.1 provide that all sources subject to the Part 70 regulations shall have a permit to operate that assures compliance by the source with all applicable requirements.
17. 40 C.F.R. § 70.7(b) and Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part C, Section II.A.1 and 2 provide that no source subject to Part 70 requirements may operate without a permit issued under a Part 70 program.
18. Section 502(d)(1) of the Act, 42 U.S.C. § 7661a(d)(1), calls upon each State to develop and submit to EPA an operating permit program to meet the requirements of Title V. EPA granted interim approval to the Title V operating permit program submitted by the State of Colorado effective February 23, 1995. 60 Fed. Reg. 4563 (January 24, 1995); 40 C.F.R. part 70, Appendix A. See also 61 Fed. Reg. 56367 (October 31, 1996) (revising interim approval). Effective October 16, 2000, EPA granted full approval to Colorado's Title V operating permit program. 65 Fed. Reg. 49919 (August 16, 2000).
19. Major stationary sources of air pollution and other sources covered by Title V are required to apply for an operating permit that includes emission limitations and such other conditions as are necessary to assure compliance with applicable requirements of the Act. See CAA Sections 502(a) and 504(a), 42 U.S.C. § 7661a(a) and § 7661c(a).

Requirements for the National Emission Standards for Hazardous Air Pollutants.

20. Pursuant to the authority under Section 112 of the CAA, 42 U.S.C. § 7412, the Administrator promulgated regulations establishing the National Emission Standards for Hazardous Air Pollutants for Portland Cement Manufacturing Industry. These Maximum Achievable Control Technology ("MACT") regulations are codified at 40 C.F.R. Part 63, Subpart LLL and 40 C.F.R. Part 63 of the General Provisions, Subpart A.

Requirements for the New Source Performance Standards

- 21 Pursuant to the authority under Section 111 of the CAA, 42 U.S.C. § 7411, the Administrator promulgated regulations establishing the Standards of Performance for Portland Cement Plants. The regulations are codified at 40 C.F.R. Part 60, Subpart F, and 40 C.F.R. Part 60, Subpart A of the General Provisions.

FACTUAL BACKGROUND

Cemex owns and operates the Lyons plant located at 5134 Ute Highway, Lyons, Colorado 80540. This plant consists of a quarry, single-stage preheater/pre-calciner system, a cement kiln, a quench tower to cool the hot kiln exhaust gases, a clinker cooler, and several other emission units utilized to produce Portland cement including the Dowe Flats fugitive dust sources (P017), the storage and handling of raw materials at plant site (P004), the clinker/gypsum silos and weigh feeders (P009) and the handling and processing of cement kiln dust and raw material waste dust (P007A). The cement kiln and the clinker cooler are controlled for particulate by independent baghouses.

23. Construction of the Lyons cement plant was originally commissioned in December 1969 by Martin Marrietta Inc., which owned the plant until selling it in 1984 to Southdown Inc. ("Southdown"). Cemex acquired the plant from Southdown in November 2000 when it became the owner of Southdown. Cemex owns and operates numerous other cement plants around the United States.

Cemex is subject to the legal requirements of Title V Operating Permit No. 95OPBO082 ("Permit No. 95OPBO082"), issued to Cemex on February 1, 2000, last revised October 8, 2002, as well as applicable requirements of several underlying Construction Permits, including Permit Nos. 93BO1414F, 94BO593, 98BO0259, 98BO0292 and 98BO0315.

25. Cemex is subject to the legal requirements of the Colorado Air Quality Control Commission Regulation No. 1, 5 CCR 1001-3, which is part of the Colorado SIP and, therefore, federally enforceable.
26. Cemex's Lyons plant emits or has the potential to emit at least 100 tons per year of NO_x and is a major stationary source under the Act for both PSD and Title V.
27. In 1998, Cemex's predecessor, Southdown, was in the planning stages of the "Lyons Capacity Increase" project. Southdown documented these plans in an Authorization for Expenditure ("AFE # 98097"), which stated that the project "will increase capacity by 125,000 tons to 575,000 tons per annum at an estimated total cost of \$10.3 million." The AFE also stated that "a portion of this capacity increase was already achieved in 1997 through minor modification to the preheater aerodynamics combined with the temporary use of high cost purchased oxygen."

28. Attached to AFE # 98097 is a description of the Lyons Plant Expansion project. This description lists several significant changes that were components of the expansion project including:
- A. Raw Mill System - increase production rate from 130 to 140 tons per hour by upgrading the existing raw material dryer circuit or adding an additional flash dryer circuit.
 - B. Kiln System - upgrade cooler drag chains, upgrade cooler fans, and upgrade cooler grates.
 - C. Finish Mill System - install a high efficiency separator to increase production by 10% on the mill system, install a new baghouse for the separator in order to maximize use of the new separator.
 - D. Oxygen Plant - purchase two 50 ton per day oxygen plants, one in 1998 and one in 1999.
29. A Southdown monthly status report, dated April 9, 1999, for the Lyons Plant Expansion showed no major changes in the scope of the project with the clinker cooler project at 100% complete, the finish mill project at 95% complete, the raw feed preparation circuit at 25% complete and the oxygen plant at 10% complete. Completion of the oxygen plant was projected to be completed September 1, 1999 and the materials for the raw mill upgrades were ordered and installation was expected to begin in early May 1999.
30. The Lyons Plant Expansion was a physical change to the facility subject to 40 C.F.R. § 52.21(b)(2)(i).
31. As a result of the Lyons Capacity Increase Project, net annual emissions of NO_x from the Cemex plant increased by 563 tons per year from the baseline period of 1995 through 1996. Annual net emissions of other pollutants, in addition to NO_x, may have increased as a result of the Lyons Capacity Increase Project.
32. A Southdown interoffice correspondence, dated January 15, 1998, shows a planned schedule for the balance of the Lyons Capacity Increase Project from 1998 through 2000 that states, "This is a review of the plant expansion possibilities and what I view is the most logical approach. Because of permitting issues I feel that we will be looking at three year expansion program."
33. Section 107(d) of the Act, 42 U.S.C. § 7407(d), requires each state to designate those areas within its boundaries in which the air quality has attained the National Ambient Air Quality Standards (NAAQS), those areas in which air quality has failed to attain the NAAQS, and those areas which cannot be classified due to insufficient data. The Act also requires EPA to promulgate a list of these areas and their attainment status. The area

in Colorado where the Lyons cement plant is located, Boulder County, was designated as a non-attainment areas for PM-10 and ozone during the time of the "Lyons Capacity Increase" project (1997-2000).

34. Colorado Air Quality Control Commission Regulation No.3, 5 CCR 1001-5, Part A, § I.B.35.B.a states that "In the Denver Metropolitan PM-10 nonattainment area, any net emission increase that is significant for sulfur dioxide or nitrogen oxides shall be considered significant for PM-10."
35. The series of modifications made at the Lyons cement plant over the years 1997 through 2000, with the combined purpose of increasing the cement production capacity, are a major modification for NO_x under the PSD program and a major modification for PM-10 under the NNSR program. A review of the Colorado Department of Public Health and Environment (CDPHE) records did not reveal any evidence that Southdown applied for a PSD permit for NO_x or nonattainment new source review permit for PM-10 prior to this major modification or at any time prior to the date of this Notice of Violation.
36. The EPA National Enforcement Investigation Center (NEIC) and EPA Region 8 performed an inspection at the Cemex plant from April 10 to April 14, 2006. During the inspection NEIC took photographs, asked questions and collected several records from the facility. NEIC finalized the Cemex inspection report on October 19, 2006. The report lists several violations that are enumerated below. EPA Region 8 used the records collected during the inspection to conduct a thorough PSD analysis.

VIOLATIONS

A. Violations of MACT/NSPS

37. Pursuant to 40 C.F.R. § 63.1343(b)(2), no owner or operator of an existing brownfield kiln shall cause to be discharged into the atmosphere from these affected sources, any gases which exhibit opacity greater than 20 percent. Cemex provided NEIC an electronic copy of the raw 1-minute Continuous Opacity Monitor ("COM") data from January of 2001, until April of 2006. Cemex exceeded the 6-minute opacity limit on the kiln stack 545 times during this time frame in violation of 40 C.F.R. §§ 63.1343(b)(2), 63.1350(c)(3) and 60.62(a)(2). These excess opacity violations do not duplicate violations that have previously been resolved by the CDPHE.
38. Pursuant to 40 C.F.R. § 63.1354(b)(8), as required by 40 C.F.R. § 63.10(e)(3), the owner or operator of an affected source equipped with a continuous emission monitor shall submit an excess emissions and continuous monitoring system performance report for any event when the continuous monitoring system data indicate the source is not in compliance with the applicable emission limitation or operating parameter limit. Cemex failed to report opacity exceedances for the kiln stack 390 times between May of 2002, and December of 2005, in violation of 40 C.F.R. §§ 63.1354(b)(8) and 60.65(a). These

reporting violations do not duplicate violations that have previously been resolved by the CDPHE.

39. Pursuant to 40 C.F.R. § 63.1345(a)(2), no owner or operator of a new or existing clinker cooler at a facility which is a major source shall cause to be discharged into the atmosphere from the clinker cooler any gases which exhibit opacity greater than ten percent. Cemex exceeded the opacity limit on the clinker cooler stack 221 times between January of 2001, and April of 2006, in violation of 40 C.F.R. §§ 63.1345(a)(2), 63.1350(d)(3) and 60.62(b)(2). These excess opacity violations do not duplicate violations that have previously been resolved by the CDPHE.
40. Pursuant to 40 C.F.R. § 63.1354(b)(8), as required by 40 C.F.R. § 63.10(e)(3), the owner or operator of an affected source equipped with a continuous emission monitor shall submit an excess emissions and continuous monitoring system performance report for any event when the continuous monitoring system data indicate the source is not in compliance with the applicable emission limitation or operating parameter limit. Cemex failed to report opacity exceedances for the clinker cooler stack 194 times between October of 2001, and December of 2005, in violation of 40 C.F.R. §§ 63.1354(b)(8) and 60.65(a). These reporting violations do not duplicate violations that have previously been resolved by the CDPHE.

B. Violations of Title V Permit No. 95OPBO082.

41. Title V Permit No. 95OPBO082, Conditions 1.3.7, 3.5.7, 11.6.7, and 13.5.10 state that activities causing fugitive dust emissions shall be suspended when wind speeds reach or exceed 30 miles per hour, averaged over a 60-minute period. Cemex failed to cease operations of the Dowe Flats fugitive dust sources (P017), the storage and handling of raw materials at plant site (P004), the clinker/gypsum silos and weigh feeders (P009) and/or the handling and processing of cement kiln dust and raw material waste dust (P007A) on 116 occasions of high wind in violation of Title V Permit No. 95OPBO082, Conditions 1.3.7, 3.5.7, 11.6.7, and 13.5.10.
42. Title V Permit No. 95OPBO082, Conditions 1.3, 3.5, 11.6, and 13.5 state that the permittee shall install, calibrate, and operate a wind speed instrument which will be used to alert personnel when average wind speeds reach or exceed 30 m.p.h. Cemex's anemometer recorded wind speeds either less than 0 or greater than 150 m.p.h. for over 9,500 minutes between August 18, 2004 through April 12, 2006. Over 9,300 of the 9,500 minutes were recorded as "valid" data points. Cemex failed to calibrate its wind speed instrument in violation of Title V Permit No. 95OPBO082, Conditions 1.3, 3.5, 11.6, and 13.5.
43. Title V Permit No. 95OPBO082, Condition 3.5.1 states that the height of discharge from the stacker belt shall be adjusted to minimize the drop height to less than 3 feet. On April 12, 2006, the raw material stacking was observed by NEIC and EPA Region 8 inspectors

to be discharged from a height greater than 3 feet above the top of the raw material pile in violation of Title V Permit No. 95OPBO082, Condition 3.5.1.

44. Title V Permit No. 95OPBO082, Conditions 19 and Condition 24.4.1 state that at all times, including periods of startup, shutdown, and malfunction, owners or operators shall operate and maintain any affected source, including associated air pollution control equipment, in a manner consistent with good air pollution control practices for minimizing emissions at least to the levels required by all relevant standards. On April 10, 2006, NEIC and EPA Region 8 inspectors observed nearly 100 percent opacity generated from a conveyor transfer point located on top of the A-frame. Plant manager John Lohr explained the cause of the emissions to NEIC and EPA Region 8 inspectors. Apparently, the conveyor belt was shut down because of high-wind conditions; however, the baghouse used to control dust continued to discharge collected dust onto the conveyor. High winds then blew the collected dust off the conveyor causing a large release of particulate matter into the air. Good air pollution control practice would dictate that Cemex should have prevented the baghouse from discharging the dust onto a conveyor that was shut down during high-wind conditions. Cemex failed to maintain and operate its affected facility including associated air pollution control equipment in a manner consistent with good air pollution control practice for minimizing emissions in violation of Title V Permit No. 95OPBO082 Condition 19 and Condition 24.4.1.

C. Violations of PSD/NNSR

45. Pursuant to the Colorado SIP and 40 C.F.R. § 52.21(r), any owner or operator who constructs or operates a source or modification without obtaining a permit will be subject to an appropriate enforcement action. The "Lyons Capacity Increase" project conducted by Cemex caused a significant net emissions increase of NO_x, and/or other pollutants, resulting in a "major modification" as defined in 40 C.F.R. § 52.21(b)(2) and the Colorado SIP. Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Section I.B.2 (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part A, Section I. B.35.B (Colorado SIP 110(h) Compilation as of 11/15/1998). Cemex failed to obtain a PSD permit or undergo PSD review, including application of BACT, prior to beginning actual construction, in violation of 40 C.F.R. § 52.21(r) and the Colorado SIP. Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Sections I.A and III.A.1 (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part B, Sections I.A and III.A.1 (Colorado SIP 110(h) Compilation as of 11/15/1998).
46. As stated in Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Section IV.D.2.a, for any new major stationary source or major modification, the applicant must provide information outlined in that section for a nonattainment area permit. The Denver Metropolitan area was a nonattainment area for PM-10 during the

“Lyons Capacity Increase” project. Pursuant to Colorado Air Quality Control Commission Regulation No.3, 5 CCR 1001-5, Part A, § I.B.35.B.a, the significant NO_x emission increase is also a significant emission increase for PM-10. Cemex failed to obtain a NNSR permit including applying lowest achievable emission rate (LAER) and offsets prior to commencing construction, in violation of Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Section IV.D.2.a. Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Section IV.D.2.a (Colorado SIP 110(h) Compilation as of 11/15/1995). Colorado Air Quality Control Commission Regulation No. 3, 5 CCR 1001-5, Part B, Section IV.D.2.a (Colorado SIP 110(h) Compilation as of 11/15/1998).

47. The violations noted in paragraphs 45-46 exist from at least the date of start of construction and continue until the appropriate permits are obtained and the necessary pollution control equipment is installed and operated.
48. It is a violation to operate each affected source without BACT controls for NO_x and LAER controls for PM-10 every day of such operation.

ENFORCEMENT

Section 113(a)(1) of the Act, 42 U.S.C. § 7413(a)(1), provides that at any time after the expiration of 30 days following the date of the issuance of this NOV, the Regional Administrator may, without regard to the period of violation, issue an order requiring compliance with the requirements of the state implementation plan or permit, and/or bring a civil action pursuant to Section 113(b) for injunctive relief and/or civil penalties of not more than \$27,500 per day for each violation after January 30, 1997, but before March 15, 2004, and no more than \$32,500 after March 15, 2004, per day for each violation. Section 113(c) of the Act, 42 U.S.C. § 7413(c), provides that criminal sanctions may also be imposed, to redress knowing violations of the Act. Section 306 of the Act, 42 U.S.C. § 7606, allows that any facility found in violation of the Act may be barred from federal grants, loans, or contracts.

OPPORTUNITY FOR CONFERENCE

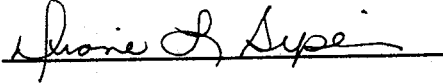
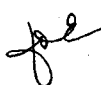
Respondent may, upon request, confer with EPA. The conference will enable Respondent to present evidence bearing on the findings of violations, on the nature of the violations, and on any efforts Respondent may have taken or proposes to take to achieve compliance. Respondent has the right to be represented by counsel. A request for a conference must be made within 10 calendar days of receipt of this NOV, and the request for a conference or other inquiries concerning the NOV should be made in writing to:

David Rochlin
Senior Enforcement Attorney
Office of Enforcement, Compliance and
Environmental Justice
Mail Code ENF-L
U.S. EPA Region 8
1595 Wynkoop St.
Denver, CO 80202-1129
303-312-6892

By offering the opportunity for a conference or participating in one, EPA does not waive or limit its right to any remedy available under the Act.

EFFECTIVE DATE

This NOV shall be effective immediately upon issuance.

Date Issued: MAR 28 2007, 2007. 
 Eddie A. Sierra
Acting Assistant Regional Administrator
Office of Enforcement, Compliance and
Environmental Justice